Home Affordable Refinance
DU Refi Plus™ and Refi Plus™ Options

		DU Refi Plus™ (Desktop Underwriter®/DU®)	Refi Plus™ (Manual underwriting)
General Information	Description	Home Affordable Refinance provides refinance opportunities to borrowers with existing Fannie Mae loans who have demonstrated an acceptable payment history on their mortgage but have been unable to refinance to obtain a lower payment or move to a more stable product. DU Refi Plus and Refi Plus offer lenders both DU and manual underwriting options for Fannie Mae to Fannie Mae refinances.	
	Borrower Benefit	These refinance options are intended to assist borrowers by providing a benefit that seeks to ensure long-term homeownership sustainability. The lender must represent and warrant that the borrower is receiving a benefit in the form of either: • A reduced monthly mortgage principal and interest (P&I) payment; • A reduced interest rate; • A reduced amortization term; or • A more stable mortgage product; for example, movement from an ARM to a fixed-rate mortgage (FRM). (Lenders are encouraged to provide FRMs to borrowers whenever possible.)	
	Borrower Marketing	Lenders may solicit borrowers with mortgages owned or securitized by Fannie Mae for a refinance, provided: • The LTV ratio of the loans is greater than 80%. • The lender simultaneously applies the same advertising and solicitation activities to all mortgages owned or securitized by either government-sponsored enterprise (GSE). • The lender must use specific language that is outlined in the *Selling Guide* (B5-5.2-01, DU Refi Plus and Refi Plus Eligibility) in any communications. Lenders are reminded that for loans with LTV ratios less than or equal to 80%, the existing provisions in the Fannie Mae *Selling* and *Servicing Guides* (*Selling Guide*: B2-1.2-05, Prohibited Refinancing Practices) continue to apply, and *the lender may not specifically target market borrowers whose mortgages are owned or securitized by Fannie Mae for a new mortgage*.	

This summary is intended for reference only. All criteria are subject to the formal terms and conditions of the Fannie Mae *Selling Guide* and the applicable DU Release Notes. In the event of any conflict with this document, the *Selling Guide* and Release Notes will govern.

Home Affordable Refinance – DU Refi Plus and Refi Plus Options

		DU Refi Plus™ (Desktop Underwriter®/DU®)	Refi Plus™ (Manual underwriting)
Eligibility and Underwriting	Business Channel	Retail, wholesale, and correspondent	Retail only
	Existing Servicer	The originating lender is not required to be the current servicer of the existing mortgage (available to any lender or third-party originator using DU and/or Desktop Originator®).	Originating lender (or an affiliate or subsidiary) must be the current servicer of the existing mortgage.
	Underwriting Method (new mortgage)	Must be underwritten through DU; eligibility for DU Refi Plus determined by DU and identified in the DU Underwriting Findings Report. Loans may be converted to Refi Plus (manual) provided the lender is the current servicer and complies with all Refi Plus (manual) requirements.	Manual underwriting only
	Loan Purpose	Limited cash-out refinance (LCOR) only, with payoff of existing first-lien mortgage, financing of closing costs, and no more than $250 cash to borrower.	
	Maximum LTV Ratio	• Unlimited for fully amortizing FRM with terms up to 30 years. • Up to 105% for fully amortizing FRM with terms to 40 years and ARMs with initial fixed periods of 5 years or greater.	
	Maximum CLTV/HCLTV Ratios	No maximum CLTV or HCLTV ratio (but the lender must calculate the CLTV ratio and provide it at loan delivery).	
	Subordinate Financing	• All existing subordinate financing must be resubordinated • No new subordinate financing is permitted	• New subordinate financing is permitted only if it replaces existing subordinate financing and the new subordinate loan amount does not exceed the existing UPB.
		• Existing subordinate financing may not be satisfied with the proceeds of the DU Refi Plus or Refi Plus mortgage loan. • Existing subordinate financing can remain in place as long as it is resubordinated to the new DU Refi Plus or Refi Plus mortgage loan. • No restrictions on terms of existing subordinate financing.	

Home Affordable Refinance – DU Refi Plus and Refi Plus Options

<table>
<tr><th colspan="2"></th><th colspan="2">DU Refi Plus™ (Desktop Underwriter®/DU®)</th><th>Refi Plus™ (Manual underwriting)</th></tr>
<tr><td rowspan="6">Eligibility and Underwriting (continued)</td><td rowspan="4">MI Coverage Requirements (DU or manual)</td><td>Original Loan LTV Ratio</td><td>Existing MI Coverage</td><td>MI Coverage for New Loan</td></tr>
<tr><td>80% or less</td><td>None</td><td rowspan="2">Not required</td></tr>
<tr><td rowspan="2">Over 80%</td><td>None (MI previously canceled or terminated per Selling and Servicing Guide requirements)</td></tr>
<tr><td>Yes</td><td>• The level of MI coverage in force on the existing loan or standard coverage required in accordance with the Selling Guide.
• Lenders are encouraged to use best efforts to obtain MI coverage that provides the lowest-cost MI option available to the borrower.</td></tr>
<tr><td>Eligible Borrowers</td><td colspan="2">• Borrowers may be removed for any reason provided the borrower being removed is also removed from the deed and retains no ownership in the property and at least one of the original borrower(s) is retained on the new loan.
• Borrowers may be added in the new transaction provided the original borrowers remain on the loan.</td><td>• Borrowers may be removed for any reason, including death or divorce, provided remaining borrower(s) shows proof of making payments for 12 months (except in the case of death, when the 12-month history of payment from the remaining borrower is not required), and the borrower(s) being removed is also removed from the deed and retains no ownership interest in the property (evidence of death must be provided in the file).
• Borrowers may be added in the new transaction provided the original borrowers remain on the loan.</td></tr>
<tr><td>Eligible Existing Mortgage</td><td colspan="2">Includes first-lien loans documented per the Selling Guide (or per negotiated lender variance); subprime; Alt-A; Expanded Approval® (EA).</td><td>Fully documented first-lien loans, originated in accordance with Fannie Mae guidelines and previous Streamlined Refinance (effective for loan applications dated on or after February 1, 2010, existing loans subject to full, unconditional recourse, including those with less than life-of-loan agreements, are eligible only if the new loan is delivered with full, unconditional life-of-loan recourse with SFC 001).</td></tr>
</table>

Home Affordable Refinance – DU Refi Plus and Refi Plus Options

		DU Refi Plus™ (Desktop Underwriter®/DU®)	Refi Plus™ (Manual underwriting)
Eligibility and Underwriting (continued)	Ineligible Existing Mortgage	Whole loans purchased by Fannie Mae 6/1/2009 or later, or loans in MBS pools with issue dates of 6/1/2009 or later; certain loans subject to agreements or MI policies necessary to meet Fannie Mae minimum credit enhancement requirements; loans with outstanding repurchase requests; reverse mortgages; second mortgages; government mortgages.	Whole loans purchased by Fannie Mae 6/1/2009 or later, or loans in MBS pools with issue dates of 6/1/2009 or later; Alt-A; subprime; certain loans subject to agreements or MI policies necessary to meet Fannie Mae minimum credit enhancement requirements; loans with outstanding repurchase requests; loans that received an Ineligible, Refer with Caution IV, or EA recommendation in DU; reverse mortgages; second mortgages; government mortgages.
	Eligible New Mortgage	• Fully amortizing FRM with term up to 40 years (subject to LTV ratio limitations) • ARM with initial fixed period of 5 years or greater, terms up to 40 years (subject to LTV ratio limitations)	
	Ineligible New Mortgage	Mortgage loans with temporary interest rate buydowns, unless dated before July 1, 2009 and delivered to Fannie Mae prior to December 1, 2009.	
	Loan Limits	Existing Jumbo-Conforming Mortgages and high-balance mortgage loans are eligible for DU Refi Plus and Refi Plus; the new loan must meet loan limits applicable at the time of delivery regardless of whether higher limits might have applied to the existing loan being refinanced.	
	Occupancy and Property Types	1- to 4-unit primary residences, second homes, and 1- to 4-unit investment properties; all property types including condos, co-ops, manufactured housing, and PUDs.	
	Seasoning	None required	
	Payment History	• No 60-day late in past 12 months (any mortgage tradeline) • No limit on payment increase	Existing mortgage must be current and: • No 30-day delinquency in the most recent 6 month period, and • No more than one 30-day delinquency on existing mortgage in months 7 through 12.
	Mortgage Modifications	A borrower who has applied for or received a loan modification is eligible to refinance under DU Refi Plus or Refi Plus as long as the borrower benefit provision and the mortgage payment history are met.	

This summary is intended for reference only. All criteria are subject to the formal terms and conditions of the Fannie Mae *Selling Guide* and the applicable DU Release Notes. In the event of any conflict with this document, the *Selling Guide* and Release Notes will govern.

		DU Refi Plus™ (Desktop Underwriter®/DU®)	Refi Plus™ (Manual underwriting)
Eligibility and Underwriting (continued)	Income Documentation	DU minimum documentation: • Salary/hourly/bonus: One paystub and verbal verification of employment (VOE) • Commission/self-employed: One-year federal tax return	• All income sources must be eligible in accordance with the *Selling Guide*. • If the monthly P&I payment is changing by less than or equal to 20%, at least one borrower must have a source of income and verification of the income source is required, including a verbal VOE for at least one borrower if all qualifying income is from employment. • If monthly P&I payment is increasing more than 20% - verification of all income sources and amounts, in accordance with standard *Selling Guide* provisions.
	Asset Documentation	Reserves and assets must be verified to the extent that the DU Underwriting Findings Report requires such verification.	• Payment change ≤ 20%: No verification or documentation is required. • Payment increase > 20%: Verification and documentation of assets to close if the borrower is required to bring funds to closing.
		Fannie Mae permits grant-like unsecured financing provided to the borrower through a housing finance agency's Hardest Hit Funds℠ program for the purpose of paying down the outstanding mortgage balance or closing cost assistance.	
	Minimum Credit Score	DU does not apply minimum credit score requirements to any DU Refi Plus loan casefile (but note that the credit risk assessment performed for a DU Refi Plus loan casefile is the same credit risk assessment performed for non–DU Refi Plus loan casefiles).	• No minimum credit score required for eligibility. • If monthly P&I payment is increasing > 20% – minimum 620 credit score required.
		Current representative credit score required at loan delivery for pricing purposes.	
	Maximum Debt-to-Income Ratio	Subject to the maximum allowable debt-to-income ratio in DU	• None (not required to be calculated); but lender must ensure borrower's payment history on the original loan being refinanced meets requirements. If monthly P&I payment increasing > 20% – maximum 45% debt-to-income ratio.

This summary is intended for reference only. All criteria are subject to the formal terms and conditions of the Fannie Mae *Selling Guide* and the applicable DU Release Notes. In the event of any conflict with this document, the *Selling Guide* and Release Notes will govern.

Home Affordable Refinance – DU Refi Plus and Refi Plus Options

		DU Refi Plus™ (Desktop Underwriter®/DU®)	Refi Plus™ (Manual underwriting)
Eligibility and Underwriting (continued)	Significant Derogatory Credit Events	Standard *Selling Guide* and DU policies apply regarding prior significant derogatory credit events.	• Standard *Selling Guide* policies do not apply regarding prior significant derogatory credit events. • Form 1003 VIII. Declarations A through F are not required to be reviewed or considered in the underwriting evaluation as long as the credit score (if applicable) and the mortgage payment history requirements are met.
	No. of Financed Properties	No limit	
	Property Valuation	DU Refi Plus property fieldwork waiver offered on certain loan casefiles ($75 fee at delivery); representation and warranty relief on the value, condition, and marketability of the subject property available on loans with exercised waiver (subject to waiver conditions; see *Selling Guide* for details).	• Lender must represent and warrant that property value is not less than original appraised value. • Otherwise, new appraisal or exterior-only inspection required (see *Selling Guide* for details)
	Leasehold Estates Requirements	Standard *Selling Guide* requirements apply regarding leasehold estates.	The term of the leasehold estate must run for at least five years beyond the maturity date of the mortgage, unless fee simple title will vest at an earlier date in the borrower or a homeowners' association. The lender is not required to perform any additional review of the leasehold terms.
	Condo,Co-op, PUD Project Review	No new project review required; lender must confirm property is not a condo or co-op hotel or motel. Lender must confirm hazard, flood, and liability insurance coverage per the *Selling Guide* requirements.	Fannie Mae will rely on the original project eligibility determination made by the lender, including required insurance coverage.

<table>
<tr><th></th><th></th><th>DU Refi Plus™ (Desktop Underwriter®/DU®)</th><th>Refi Plus™ (Manual underwriting)</th></tr>
<tr><td rowspan="4">Pricing, Committing, and Delivery</td><td>Pricing</td><td colspan="2">• For MBS, standard base guaranty fees apply.
• For Loan Level Price Adjustments (LLPAs) the following applies:
o The cap applicable to the sum of the LLPAs and the Adverse Market Delivery Charge (AMDC) on HARP mortgage loans (principal residences with LTV ratios greater than 80%) with amortization terms less than or equal to 20 years is being reduced to 0.00%. As a result, all delivery fees are effectively eliminated for this category of loans.
o The cap applicable to the sum of the LLPAs and the AMDC on HARP mortgage loans with amortization terms greater than 20 years is reduced to 0.75%.
o For Refi Plus and DU Refi Plus mortgage loans that are not defined as HARP loans, the LLPAs, AMDC, and the current caps will remain in effect.

Refer to the updated Refi Plus Pricing Matrix on eFannieMae.com for complete information.</td></tr>
<tr><td>Whole Loan Committing and Delivery</td><td colspan="2">• Standard committing applies up to 105% LTV ratio
• Whole loan pricing and committing available in eCommitting™ and eCommitONE™ (best efforts)
• Separate committing required for LTV ratios > 105% through 125% and for LTV ratios > 125%
• Use the following products in eCommitting and eCommitONE for DU Refi Plus and Refi Plus:
o 30-Year Fixed-Rate, Refi Plus LTV 105.01 through 125
o 30-year Fixed Rate, Refi Plus LTV >125
o 15-year Fixed Rate, Refi Plus LTV 105.01 through 125
o 15-year Fixed Rate, Refi Plus LTV > 125</td></tr>
<tr><td>MBS Prefixes</td><td colspan="2">• Standard MBS prefixes apply up to 105% LTV ratio
• Following prefixes apply for MBS with LTV ratios 105.01–125% and LTV ratios > 125% for DU Refi Plus and Refi Plus:
o CQ for30-Year Fixed Rate, Refi Plus LTVs 105.01–125%
o CR for 30-Year Fixed Rate, Refi Plus LTV > 125%
o CW for 15-year Fixed Rate, Refi Plus LTV > 125%
o CV for 15-year Fixed Rate, Refi Plus LTV 105.01 through 125%</td></tr>
<tr><td>Special Feature Codes (SFC)</td><td>• 147
• 807 if DU Refi Plus property fieldwork waiver is exercised
• Plus all other applicable standard SFCs
• DO NOT use Flexible mortgage SFCs for DU Refi Plus loan casefiles with an LTV or CLTV ratios over 95%</td><td>• 288
• Plus all other applicable standard SFCs</td></tr>
</table>

Home Affordable Refinance – DU Refi Plus and Refi Plus Options

		DU Refi Plus™ (Desktop Underwriter®/DU®)	Refi Plus™ (Manual underwriting)
Pricing, Commit-ting, and Delivery	MI Delivery Requirement	Deliver MI Absence Reason "No MI Based on Original LTV" for all DU Refi Plus and Refi Plus refinance loans with LTVs over 80% and no MI coverage.	
	Condo, PUD and Co-op Delivery Codes	V – Condo E – PUD 2 – Co-op	

This summary is intended for reference only. All criteria are subject to the formal terms and conditions of the Fannie Mae *Selling Guide* and the applicable DU Release Notes. In the event of any conflict with this document, the *Selling Guide* and Release Notes will govern.